
THE NETHERLANDS 2003

1. Overview of the system

Unemployment insurance pays 70 per cent of the last earned wage for a period of time dependent on age. Supplements are available for those whose benefits are lower than the minimum income. After the unemployment benefit expires, social assistance is available conditional on a means test and registration at the job office. A system of family related benefits is universally available. Housing costs can be covered by a separate individual benefit. The 2003 AW earnings level is EUR 36 600. Unemployment and social assistance are taxable, family and housing benefits are not. Earnings related benefits are based on gross earnings. In general, the information refers to the situation on 1st January and 1st July 2003.

2. Unemployment insurance

The unemployment benefit (WW) includes three types of benefits: 1. the earnings related benefit (half a year up till 5 years), 2. the follow-up benefit (2 years, for people 57½ and older till a maximum of 3½ years) and 3. the short-term benefit (max. half a year) for persons that are not eligible for 1. and 2. (2. and 3. are minimum-wage related benefits). (Note the follow up benefit has been abolished in 2004)

The unemployment benefits might be supplemented by the “Supplementary Benefits Act” (TW), if the benefit is below minimum income.

2.1 Conditions for receipt

2.1.1 Employment conditions

- *Earnings-related benefit / follow-up benefit*: to have worked 26 weeks in the last 39 weeks immediately preceding unemployment, plus to have worked at least 52 days or more during four of the last five years. Calendar years during which the person cared for children under 6 count fully for this requirement. Calendar years during which the person cared for children between 6 and 12 qualify for 50% of this requirement.
- *Minimum-wage related benefit (short-term)* (the follow-up benefit is also minimum-wage related): 26 weeks in the last 39 weeks immediately preceding unemployment.

2.1.2 Contribution conditions

- *Earnings-related benefit / follow-up benefit*: at least 52 days in paid employment (hence contributed) in four of the last five years preceding unemployment. Insurance is compulsory for employees.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

2.2.1.1 *Earnings-related benefit:*

Salary-related unemployment benefit is 70 per cent of former gross earnings up to a maximum daily wage of EUR 165 per day (5 days per week, that is EUR 42 900 per year).

2.2.1.2 *Minimum-wage related benefit:*

70 per cent of the minimum wage (or 70 per cent of the daily wage if this is less than the minimum wage, i.e. because of part-time work).

Gross minimum wage, january 2003 (in EUR)

		Including holiday pay
1 January	1249.20	1349.14
1 July	1264.80	1365.98
Year	1257.00	1357.66

The gross minimum holiday pay is 8% of the gross minimum wage.

2.2.1.3 *Supplementary Benefits Act (TW)*

The TW provides assistance to people who get a benefit from one of the employee insurance schemes (such as the WW, (abolished), Wajong, WAO, Wamil or ZW schemes) if their income (plus that of their partner) falls below the minimum guaranteed income (this being the gross legal minimum wage plus 8 per cent holiday pay divided by 21.75).

Supplementary benefit equals the difference between the applicable minimum guaranteed income level and the total income of the beneficiary and his or her partner.

As of 1 July 2003, the minimum guaranteed incomes were set as the following gross amounts

Family situation	Per cent of minimum wage
Single person	70%
Lone parents	90%
Married persons and couples living together	100%

The term “income” covers all work-related earnings, including most social security benefits, of claimants and their partner. Any property such as a private home, or capital such as savings, is disregarded.

For two years at most, part of the work-related income (up to a maximum of 15% of the minimum wage) is disregarded. The maximum period of two years does not account for persons older than

57.5 years.

The maximum rates of supplementary benefits are:

- 30% of the minimum wage for married persons and couples living together.
- 27% of the minimum wage for lone parents.
- 21% of the minimum wage for single persons.

Supplementary benefit will never be more than the difference between the daily earnings or the basis on which the benefit has been calculated and the benefit to recompense for loss of income.

There is no entitlement to supplementary benefit:

- For unmarried persons under 21 living with their parents.
- For persons living with a partner (either married or not) born after 31 December 1971 who do not have any children under 12 living at home.

2.2.2 *Income and earnings disregards*

If the claimant is working less than 5 hours/week, gross benefit is reduced by 70 per cent of gross earnings.

If hours exceed 5, the total benefit is reduced in proportion to the number of hours worked.

2.3 *Tax treatment of benefit*

Taxable.

2.4 *Benefit duration*

The duration of the earning-related benefit varies with the employment record.

Duration of the earning-related benefit

Employment (years)	Duration (extended benefit)
4	6 months
5 to 10	9 months
10 to 15	12 months
	(6 month increase for every additional 5 years of employment)
35 to 40	48 months
>= 40	60 months

Follow-up benefit: 2 years (for workers older than 57½ maximum 3½ years).

Short-term benefit: 6 months.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

None.

2.5.2 *Older workers*

The benefit stops when the recipient turns 65.

3. *Unemployment assistance (will be abolished in 2004)*

3.1 *Conditions for receipt*

3.1.1 *Employment conditions*

A person who is still unemployed after the earnings-related benefit expires is entitled to the follow-up benefit (see 2.1.1).

3.1.2 *Contribution conditions*

The same as for the earnings-related benefit (see 2.1.2).

3.2 *Calculation of benefit amount*

3.2.1 *Calculation of gross benefit*

Follow-up benefit: 70 per cent of the minimum wage or 70 per cent of the daily wage if this is less than the minimum wage (see 2.2.1.2.).

3.2.2 *Income and earnings disregards*

If the claimant is working less than 5 hours per week, gross benefit is reduced by 70 per cent of gross earnings.

If hours exceed 5, the total benefit is reduced in proportion to the number of hours worked.

3.3 *Tax treatment of benefit*

Taxable.

3.4 *Benefit duration*

Two years.

3.5 years if a person is 57.5 years or older on the first day of unemployment.

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

None.

3.5.2 *Older workers*

Persons that are 57.5 or older at the moment they loose their job have continued entitlements for the follow-up benefit until their 65th birthday.

4. **Social assistance (Note, new social assistance act in 2004)**

4.1 *Conditions for receipt*

The Dutch National Assistance Act guarantees a minimum income to any Dutch inhabitant who does not have sufficient means of existence. Beneficiaries are mainly persons who are no longer entitled to benefits under the social insurance schemes such as unemployment insurance benefits and disability benefits, persons without a work history.

Entitlement to social assistance is – in general - dependent on the claimant seeking employment and being registered with the local employment agency (see 4.5.2 and 4.5.3).

4.2 *Calculation of benefit amount*

General social assistance payments are intended to cover normal costs of living, including the costs of food, housing, heating, furniture and recreation. The Dutch national government specifies three minimum basic benefit payment rates. There are three basic rates related to family composition.

4.2.1 *Calculation of gross benefit*

General social assistance (ABW) in 2003

Family situation	Proportion of the subsistence minimum	Gross yearly benefit incl.. holiday pay	Corresponding net yearly benefit	
			Holiday allowance: excluded	included
Couples	100%	17 178	13 010	13 655
Lone parent families*	90%	15 570	11 709	12 290
Single, 23 or older*	70%	13 223	9 107	9 559

* Inclusive of municipal top-ups which are assumed to be available with their maximum value (20 per cent of the social minimum).

Adjusted general social assistance (ABW) for 2002

Family situation	Proportion of the subsistence minimum	Gross yearly benefit incl.. holiday pay	Corresponding net yearly benefit	
			Holiday allowance: excluded	included
Couples	100%	16601	12640	13284
Lone parent families*	90%	14970	11376	11956
Single, 23 or older*	70%	12716	8848	9299

* Inclusive of municipal top-ups which are assumed to be available with their maximum value (20 per cent of the social minimum).

4.2.2 *Income and earnings disregards*

General assistance: no disregards; one-to-one income-test using the household net income. Family benefits and individual housing benefits are excluded from the income-test. Savings and assets worth over EUR 4 975 (EUR 9 950 for couples and lone parents) are taken into account. The own dwelling is disregarded only up to a certain maximum. If the value of the house minus the mortgage exceeds this maximum, the recipient can get social assistance as a loan.

4.3 *Tax treatment of benefit*

The level of general assistance is defined on its net value; a net income level is guaranteed.

The income taxes on the social assistance benefit are not paid by the recipient, who thus receives a net benefit, but are transferred to the tax inspector by the municipality that is administering the benefit.

4.4 *Benefit duration*

- General assistance (ABW): as long as there is a need.
- Additional allowances: as long as there is a need.

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

Young people between 18 and 21 years of age are deemed to be in work, education or in the WIW (Law Involving Sheltered Employed). Furthermore, until the age of 21 parents are supposed to provide financial support to their children. Therefore, municipalities are only obliged to provide benefits to applicants in this age group in exceptional circumstances. For a young person only sickness insurance contributions need to be paid from gross benefits.

General national assistance for young persons in 2003

OECD - Social Policy Division - Directorate of Employment, Labour and Social Affairs
Country chapter - Benefits and Wages (www.oecd.org/els/social/workincentives)

	1 January		1 April		1 July		Year
	Base	+ holiday allowance	Base	+ holiday allowance	Base	+ holiday allowance	average
Single < 21 years with children	403,02	423,34	403,94	423,86	404,88	424,85	5090,70
One is >21 years and one is <21, with children	943,56	991,13	945,71	992,35	947,92	994,67	11918,46
Both <21 years old, with children	589,83	619,57	591,17	620,33	592,55	621,77	7450,32
Single <21 years, no children	186,81	196,23	187,24	196,47	187,66	196,92	2359,62
Both <21 no children	373,62	392,46	374,47	392,94	375,33	393,84	4719,24
One >21 one <21, no children	727,35	764,02	729,01	764,96	730,70	766,74	9187,38

Note: local municipalities can decide to give additional allowances.

Adjusted general national assistance for young persons for 2002

	1 January		1 July		Year average
	Base	+ holiday allowance	Base	+ holiday allowance	
Single < 21 years with children	390,32	410,00	395,02	415,37	4952,22
One is >21 years and one is <21, with children	913,83	959,91	924,82	972,47	11594,28
Both <21 years old, with children	571,24	600,04	578,11	607,90	7247,64
Single <21 years, no children	180,92	190,04	183,10	192,53	2295,42
Both <21 no children	361,84	380,08	366,19	385,06	4590,84
One>21 one<21, no children	704,43	739,95	712,90	749,63	8937,48

Note: local municipalities can decide to give additional allowances.

(Look for the calculations in the enclosed excel sheet)

4.5.2 Older workers

4.5.3 Lone parents

Lone parents must start looking for work if their youngest child is 5 years or older.

5. Housing benefits

Housing benefit is based on rent levels restricted by minima and maxima and dependent of gross family income. Housing benefits must be applied for separately from social assistance. They are also separately paid and calculated from social assistance benefits. However, the social assistance income level is generally that low that all benefit recipients should be entitled to housing benefits as well, if they apply for it. Housing benefits will be calculated from the gross social assistance benefit or the gross unemployment benefit as reference for the income.

5.1 Conditions for receipt

All families, whether dependents are present or not, are eligible.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

Housing benefit is based on rent levels and taxable income of the previous year. The underlying principle is that every household always pays part of the rent itself. This is referred to as the “standard rent”. In 2003 the monthly standard rent for people with a minimum income was EUR 173 (households with two or more people aged 65 or older), EUR 175 (a person aged 65 or older living alone) and EUR 176 (households containing people under 65). There was a higher standard rent for people with a higher income.

The process for awarding housing benefits 2003-2004

Step 1: Determines the kind of household

The standard rent (in Dutch normhuur) is the minimum amount of rent a household has to pay themselves. It depends on the size of the household and the age of the inhabitants. There are 4 different standard rent tables (see Annex A). The table show for each kind of household the standard rent according to the calculated income (rekeninkomen) of the particular household type. The following kind of households are defined:

- Single person household (single on 1-1-2002 younger than 65 years);
- More person household (min 2 persons; primary earner younger than 65 years on 1-1-2002)
- Single person household (single 65 years or older on 1-1-2002)
- More person household (min 2 persons; primary earner 65 years or older on 1-1-2002).

The composition of the household and the age of the inhabitants is of importance for the own contribution (standard rent of normhuur) and the maximum level (aftoppingsgrens, huurprijs; the level at which no subsidy or only 50% of the subsidy can be awarded) and the maximum means level (Vermogensgrens).

Step 2: Determines the maximum rent level (aftoppingsgrens)

The maximum level for a full benefit is the rent above which level in principle no subsidy is paid. For a one- or two person household the maximum rent level is € 443,77, for a household with 3 or more persons it is € 471,67.

If the rent is higher than the maximum rent level, only 50% rent subsidy is paid for the exceeding amount, if it considers a single person household or a household with at least one person above 65 years or a handicapped person in adjusted accommodation.

Note, the maximum rent level for a person younger than 23 years is € 317,03.

Step 3: Determines the calculated income

In order to determine the rent subsidy a specific calculated income (rekeninkomen) is calculated. This is the total income of the persons belonging to the household in the previous year (2002) following out previous tax reports including:

Taxable income:

- income from work and accommodation
- rent from capital income
- interests

Additional tax credits (not in tax report):

- tax credit for entrepreneurs (1 355 Euro)

- tax credit for professional costs (12% of taxed income (posts 1-3) at max. 1.605 Euro at min. 119 Euro
- costs from previous work (487 Euro)
- 12% income from previous work max. 1605 Euro and min. 487 Euro
- travel expenses 939 Euro
- contributions for life insurances 5608 Euro for a couple and 2072 Euro for a single.
- real costs for children under 27

The additional tax credits will be gradually phasing out with 2/3 of the value in 2002 tax reports, 1/3 of the value in 2003 tax reports and no credits in 2004.

Step 4: determine the standard rent

All income of the household is summarized. For children up to 23 years an amount of € 4100.00 Euro is excluded from the calculations.

In the standard rent table the household type can be seen (own contribution) that belongs with the calculated income.

Step 5: Determine the rekenhuur

A specific calculated rent will be calculated which forms the basis for the rent subsidy. This amount is depending on a number of factors, such as upkeep costs.

Step 6 – calculate the amounts to be subsidized at 100%, 75%, and 50%.

Three levels of benefit are paid in the case of rents above the standard rent:

The difference between the standard rent and the “quality allowance limit” (EUR 317 in 2003) is paid completely (=100%).

75% of the costs of any additional rent above the quality allowance limit is paid. The idea behind this is that people should pay a contribution if they rent a more expensive (and therefore better quality) home.

The amount by which the rent exceeds the “cap” (in 2003 this was EUR 454 for one and two person households and EUR 486 for three or more person households) is only eligible for benefit in the case of people aged 65 and older, people living alone and the handicapped. They receive benefit amounting to 50%.

Monthly house rents up to EUR 585 qualify for housing benefits.

5.2.2 Income and earnings disregards

Persons are eligible for housing benefits if their income is lower than EUR 18 325 for a single or EUR 24 575 for others.

Next, their capital income must be lower than EUR 19 875 for a single younger than 65 or EUR 36 292 for a household (highest earner must be younger than 65), or EUR 34 000 for a single aged 65 or older, or EUR 47 075 if the highest earner is 65 years or older .

5.3 Tax treatment of benefit

Not taxable

5.4 Treatment of particular groups

5.4.1 Young persons

The maximum rent level above which benefits cannot be calculated are EUR 317.03 per month.

5.4.2 Older workers

None.

6. Family benefits

6.1 Conditions for receipt

All children under 18 qualify for child benefits.

6.2 Calculation of benefit amount

The amount of the child benefit depends on the age of the child.

6.2.1 Calculation of gross benefit

Children born from 1 January 1995

In EUR per child, per 3 months

Age	1 January 2003	1 July 2003	Year
0-6 years	174.35	176.62	701.94
6-12 years	211.71	214.46	852.34
12-18 years	249.07	252.31	1002.76

Children born before 1 January 1995

In EUR per child, per 3 months

Families with	1 January 2002		1 July 2002		Year	
	Age 6-12 (85%)	Age 12-18 (100%)	Age 6-12 (85%)	Age 12-18 (100%)	Age 6-12 (85%)	Age 12-18

						(100%)
1 child	211.71	249.07	214.46	252.31	852,34	1002,76
2 children	239.15	281.35	242.26	285.01	962,82	1132,72
3 children	248.29	292.10	251.51	295.90	999,6	1176
4 children	268.39	315.75	271.88	319.86	1080,54	1271,22
5 children	280.45	329.94	284.10	334.23	1129,1	1328,34
6 children	288.49	339.40	292.24	343.81	1161,46	1366,42

6.2.2 *Income and earnings disregards*

These benefits are not income related; they are not included in any means test.

6.3 *Tax treatment of benefit*

Not taxable.

6.4 *Treatment of particular groups*

Since 1 May 1997 parents of handicapped children can get a supplementary benefit, as a partial compensation of the extra costs (TOG-arrangement). Age of the children: 3-18 years. Benefit for parents of handicapped children (mental and physical): EUR 196.72 per 3 months.

7. **Child-care benefits (Note, new regulation from Jan. 2005)**

7.1 *Types of child care available*

7.1.1 *Full-time child care*

In the Netherlands most children only stay for a part of the working week in child care. On average 1.8 children share one child care place. In 2001 (there is no data for 2002) there where child care capacity in formal child care arrangements for 22.5% of all children between the age of 0-4 years.

The average costs for full-time childcare (2 440 hours/year) for children aged 0-4 years in 2002 were EUR 11 321.

7.1.2 *Different types of child care*

There are three forms of formal child care in the Netherlands:

- Care for children aged 0-4 years in a daycarecenter which lasts to a maximum of 10 hours per day.
- Homecare for children aged 0-12
- Extracurricular child care for children aged 4-12 (after and before school times) and during school holidays.

The third category does not belong to the child care arrangement that will be considered in this study. It is

mentioned to give a complete picture of Dutch child care arrangements. From the age of 4 years children have to go to school. There exist also a great variety of informal (private) child care arrangements. Many children go to playgroups from age 2,5 till they go to school at age 4.

7.2 Calculation of the benefit amount

The amount parents have to pay for childcare depends on their terms of employment, their income, the number of children in childcare, the number of days and the number of hours per day. About 20% of the childcare for children aged 0-4 years is subsidized formal childcare, in 63% employers are paying part of the costs and 13% of the childcare is paid entirely by parents themselves.

The benefits for childcare (either subsidized by local government or by employers) are based upon a decision of the Ministry of Social Affairs and Employment in 2002 (previously the Ministry of Health, Welfare and Sport). Since 2002 the fees (and benefits) are no longer based on the net income but on the taxable income of the most recent tax report. The monthly fee per child for subsidized child care is a function of the parents' pooled taxable income and the number of children using childcare. For the first child using childcare the minimum contribution rate is EUR 52 for each child per month in the case that the parents have an income of no more than EUR 1 235 per month. For the first child the highest contribution rate is EUR 662 when the parents have an income higher than EUR 4 637 per month. The parental fee for second (and third, etc.) children ranges from EUR 52 a month for the lowest incomes to EUR 187 for the highest incomes.

These are the amounts for full day care (5 days a week) for children up to 4 years. For half day care 66% of the amount applies.

8. Employment-conditional benefits

An extra single-parent tax credit exists for working lone parents (see section 10.1.1).

9. Lone-parent benefits

There is a special tax credit, but specific benefits do not exist. (see section 10).

10. Tax system

Since January 2001 a new tax system has been implemented.

10.1 Income tax rate schedule

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

In 2001, most standard allowances were abolished, and tax credits were introduced. However, the following standard allowances remained:

- Schemes for employees.
- Employees' social security contributions (see 2.1) are deductible with the exception of the health insurance contribution. The employers' health insurance contribution is subject to tax.

10.1.1.2 Standard tax credits

There are a number of standard tax credits, described below. For a single person the tax credits are limited to the amount of tax payable. For a taxpayer with a partner, the tax credits are limited to the amount of his/her tax payable plus the tax payable by the partner after deduction of the partners' tax credits.

- *General tax credit.* This credit amounts to EUR 1 766.
- *Work credit:* This credit is the sum of 1.725 percent of the income from work with a maximum of EUR 138 and 10.662 per cent of the income from work with a franchise of EUR 8 001. The maximum work credit is EUR 1 104;
- *Child credit:* A single person with children below 18 years of age receives a credit of EUR 41 if his or her income does not exceed EUR 58 214. A taxpayer with a partner is only entitled to the child credit if his or her income exceeds the income of the partner and the joint income does not exceed EUR 58 214;
- *Additional child credit:* If a person receives the ordinary child credit and the joint income does not exceed EUR 27 438, he or she is also entitled to the additional child credit of EUR 534; If the joint income is above EUR 27 438 but below EUR 29 108 the additional child credit amounts to EUR 354;
- *Combination credit:* A taxpayer with children below the age of 12 years is entitled to a combination credit of EUR 214, if his/ her income from work exceeds EUR 4 206;
- *Single parent credit:* A single parent under certain conditions is entitled to the single parent credit of EUR 1 348;
- *Additional single parent credit:* A single parent who is entitled to the single parent credit receives an additional credit of 4.3 per cent of his or her income from work, with a maximum of EUR 1 348.

10.1.2 The tax schedule 2003

Income tax brackets (annual in EUR)	Income tax rates (%)
0 – 15 883	1.7
15 883 – 28 850	7.2
28 850 – 49 464	42
49 464 and over	52

The level of the means-tested benefits is fixed as a net value. The benefit supplier is due to pay the taxes of which the levels are based on the family type.

10.2 Treatment of family income

Spouses are taxed individually. Partners are each entitled to the General Tax Credit. If one of the partners has little or no income and therefore does not use his or her own tax credit in full, he or she can

receive part or all the amount directly from the Tax Department, in the form of a provisional refund for instance (see 10.1).

10.3 Social security contribution schedule

Employees' contributions:

- Unemployment: 5.8 per cent of gross wage less compensation allowance (ceiling EUR 43 065) with a franchise of EUR 14 877 (this contribution is only for the general unemployment fund).
- Public insurance for medical care if gross earnings are below EUR 32 050: 1.7 per cent of the gross earnings below EUR 29 493 plus a fixed amount of EUR 325 a year for each adult.
- General schemes (levied combined with income tax):
 - Old age pension: 17.9 per cent of taxable income in the first and second tax bracket.
 - Survivors pension: 1.25 per cent of taxable income in the first and second tax bracket.
 - Exceptional medical expenses: 12.05 per cent of taxable income in the first and second tax bracket.

11. Part-time work

11.1 Special benefit rules for part-time work

Seasonal workers have different qualifying conditions for the basic unemployment insurance benefit.

11.2 Special tax and social security contribution rules for part-time work

Not applicable.

12. Policy developments

12.1 Policy changes introduced in the last year

a) Decentralization of the social assistance act introduced 1st Jan 2004

In January 2004 a new disability act was introduced. The act gives municipalities more freedom with regard to the reintegration of social assistance recipients and gives more freedom with regard to the use of the social assistance budget. The government is responsible for, among other things, the general benefit levels, the implementation of national integration policies and the enforcement of the law. The municipal responsibility covers the provision of tailor-made benefit, support for persons entitled to a supplementary benefit, support for persons to regain an independent existence, and complies with the statutory frameworks which have been imposed with a view to controlling the supplementary benefit volume. The parameters with regard to the determination of the social assistance benefit have not been changed though.

b) Abolition of the unemployment follow-up benefit in 2004

Since 1st January 2004 the follow up benefit is abolished. Mainly, in order to reduce the incentive for older

workers to retire earlier by using the unemployment regulations as early retirement route. Younger persons are not very strongly affected since above 95% of all unemployed do not reach the maximum of the unemployment insurance period. In the future unemployed have to apply directly for social assistance after having reached the maximum unemployment insurance limit.

Also the exemption from job search for older workers has been abolished.

12.2 Policy changes announced

a) Change to a demand driven child care system in 2005

A change in child care subsidies will be introduced in 2005 in order to give parents more possibilities to combine freely care responsibilities and child care. The new regulation is also meant to reduce the price of child care which has raised a lot during recent years by introducing more rights for parents and employers to contract child care facilities. The law regulates formal child care arrangements for children 0-4 years, child care arrangements for children 4-12 during non-school hours, child care provided by host parents and child care arranged in a formal way through time sharing by parents. It also includes regulations with regard to the quality of child care.

Child care arrangements should be paid jointly by parents, government and employers. All contributors should pay equal parts, in principle 1/3 of the costs. The contribution of the employer is not obligatory, but collective agreements contain more and more agreements on financial contribution for child care. If the employer and/or the partner is not contributing to the costs of child care, the government compensates a part of the costs. The amount the government compensates depends on the income of the person:

- if the income is less than Euro 45 000,- than a partial compensation is paid.
- if the income is less than Euro 45 000,- than the government will only pay a partial compensation until 2006. (The amount of compensation will decline until 2009: in 2005: 90%; 2006: 60%; 2007: 30%; 2008: 10%. In 2009 no compensation will be paid anymore.)
(the specific amount for 2005 could be sent on request)

Additional obligations:

The government only contributes if the person is combining work and care obligations for children of belongs to a group that has free access to child care, such as parents that re-enter the labour market by a reintegration measure, parents following an integration course, parents receiving a benefit and being currently on a reintegration measure, teenage mothers and students.

Annex A - Standard rent table (Normhuurtabellen Huursubsidie) 2003 - 2004

Standard rent single household		
Min. level	Max level	Standard rent
€ 0	€ 12.225	€ 176,43
€ 12.226	€ 12.450	€ 180,51
€ 12.451	€ 12.675	€ 188,77
€ 12.676	€ 12.900	€ 197,20
€ 12.901	€ 13.125	€ 205,81
€ 13.126	€ 13.350	€ 214,60
€ 13.351	€ 13.575	€ 223,57
€ 13.576	€ 13.800	€ 232,71
€ 13.801	€ 14.025	€ 242,04
€ 14.026	€ 14.250	€ 251,54
€ 14.251	€ 14.475	€ 261,22
€ 14.476	€ 14.700	€ 271,07
€ 14.701	€ 14.925	€ 281,10
€ 14.926	€ 15.150	€ 291,32
€ 15.151	€ 15.375	€ 301,71
€ 15.376	€ 15.825	€ 317,62
€ 15.826	€ 16.275	€ 339,47
€ 16.276	€ 16.725	€ 362,02
€ 16.726	€ 17.175	€ 385,29
€ 17.176	€ 17.625	€ 409,27
€ 17.626	€ 18.075	€ 433,96

€ 18.076	€ 18.325	€ 453,66
Standard rent more persons household		
Min. level	Max. level	Standard rent
€ 0	€ 15.625	€ 176,43
€ 15.626	€ 15.675	€ 177,00
€ 15.676	€ 15.900	€ 180,09
€ 15.901	€ 16.125	€ 185,19
€ 16.126	€ 16.350	€ 190,37
€ 16.351	€ 16.575	€ 195,62
€ 16.576	€ 16.800	€ 200,94
€ 16.801	€ 17.025	€ 206,33
€ 17.026	€ 17.250	€ 211,79
€ 17.251	€ 17.475	€ 217,32
€ 17.476	€ 17.700	€ 222,93
€ 17.701	€ 17.925	€ 228,61
€ 17.926	€ 18.150	€ 234,35
€ 18.151	€ 18.375	€ 240,17
€ 18.376	€ 18.600	€ 246,06
€ 18.601	€ 19.050	€ 255,03
€ 19.051	€ 19.500	€ 267,24
€ 19.501	€ 19.950	€ 279,73
€ 19.951	€ 20.400	€ 292,51
€ 20.401	€ 20.850	€ 305,58

€ 20.851	€ 21.300	€ 318,93
€ 21.301	€ 21.750	€ 332,56
€ 21.751	€ 22.200	€ 346,48
€ 22.201	€ 22.650	€ 360,69
€ 22.651	€ 23.100	€ 375,18
€ 23.101	€ 23.550	€ 389,96
€ 23.551	€ 24.000	€ 405,02
€ 24.001	€ 24.450	€ 420,37
€ 24.451	€ 24.575	€ 430,32
Standard rent single household (>65)		
Min. level	Max. level	Standard rent
€ 0	€ 12.225	€ 174,61
€ 12.226	€ 12.450	€ 178,85
€ 12.451	€ 12.675	€ 187,43
€ 12.676	€ 12.900	€ 196,20
€ 12.901	€ 13.125	€ 205,16
€ 13.126	€ 13.350	€ 214,31
€ 13.351	€ 13.575	€ 223,66
€ 13.576	€ 13.800	€ 233,19
€ 13.801	€ 14.025	€ 242,91
€ 14.026	€ 14.250	€ 252,82
€ 14.251	€ 14.475	€ 262,93
€ 14.476	€ 14.700	€ 273,22

€ 14.701	€ 14.925	€ 283,71
€ 14.926	€ 15.150	€ 294,38
€ 15.151	€ 15.375	€ 305,25
€ 15.376	€ 15.825	€ 321,90
€ 15.826	€ 16.275	€ 344,78
Standard rent more person household (>65)		
Min. level	Max. level	Standard rent
€ 0	€ 15.300	€ 172,80
€ 15.301	€ 15.450	€ 174,88
€ 15.451	€ 15.675	€ 180,08
€ 15.676	€ 15.900	€ 186,42
€ 15.901	€ 16.125	€ 192,86
€ 16.126	€ 16.350	€ 199,41
€ 16.351	€ 16.575	€ 206,07
€ 16.576	€ 16.800	€ 212,83
€ 16.801	€ 17.025	€ 219,70
€ 17.026	€ 17.250	€ 226,68
€ 17.251	€ 17.475	€ 233,76
€ 17.476	€ 17.700	€ 240,95
€ 17.701	€ 17.925	€ 248,24
€ 17.926	€ 18.150	€ 255,64
€ 18.151	€ 18.375	€ 263,15
€ 18.376	€ 18.825	€ 274,61

€ 18.826	€ 19.275	€ 290,27
€ 19.276	€ 19.725	€ 306,35
€ 19.726	€ 20.175	€ 322,86
€ 20.176	€ 20.625	€ 339,79
€ 20.626	€ 21.075	€ 357,15
€ 21.076	€ 21.225	€ 368,96